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CASE #	CASE NAME	HEARING NAME
CVRI2303020	YOUNG VS AMERICAN HONDA MOTOR COMPANY, INC.	MOTION FOR ATTORNEYS' FEES

Tentative Ruling: Plaintiff's Motion for Attorney's Fees is granted in the reasonable reduced amount of $29,525.50.

A prevailing party in a civil lawsuit is entitled to recover costs as a matter of right. (Code Civ. Proc., § 1032(b).) Statutory attorney fees are included as recoverable costs. (Code Civ. Proc., § 1033.5(a)(10)(B)&c(5)(A).) Here, under the relevant fee-shifting statute, the prevailing plaintiff in action under Song-Beverly Consumer Warranty Act, commonly known as the lemon law, is entitled to award of reasonable attorney's fees. (Civ. Code, §1794(d).) However, "[t]he statutory scheme governing costs and section 998 offers allows parties to allocate costs and attorney fees in their compromise agreement." (*Chinn v. KMR Property Management* (2008) 166 Cal.App.4th 175, 183, disapproved on other grounds by *Desaulles v. Community Hospital of Monterey Peninsula* (2016) 62 Cal.4th 1140, 1144; Code Civ. Proc., §§ 998, 1032, subd. (c).) "Section 998 permits the parties to determine the nature of the judgment to be entered and to resolve collateral matters, including costs." (*Id.* at 184 ["costs allowed under section 1031 and 1032 shall be withheld or augmented as provided in this section"].) "Section 1032 also allows the parties to stipulate to procedure for resolving the matters of costs." [Citation.] (*Ibid*.) Hence, the basis for fees in this instance is the parties' agreement. On May 16, 2025, Plaintiff accepted Defendant's 998 offer, which provided that fees should be awarded in the following manner: "If the parties are unable to resolve attorney's fees and costs, Plaintiffs may seek reasonable costs, expenses and attorneys' fees pursuant to a properly noticed motion pursuant to Civil Code section 1794(d)." (Baker Decl., ¶ 9, Ex. 2.)

Defendant argues that pursuant to the penalty provision of section 998 (Code Civ. Proc., § 998, subd. (c)), Plaintiffs should only recover reasonable fees and costs incurred up to the time they rejected Defendant's earlier section 998 offer on April 30, 2024, because Plaintiff did not obtain a more favorable outcome by accepting the May 15, 2025, section 998 offer, and therefore, did not "beat" the earlier offer. Section 998, subdivision (c) provides that, where defendant's offer to compromise was rejected and the plaintiff fails to obtain a more favorable outcome, the nonaccepting party cannot recover litigation costs, including attorney fees, accrued after the date the offer was made. But, contrary to Defendant's contention, Plaintiffs did in fact obtain a more favorable outcome by accepting the later offer, which allowed them to keep their vehicle, a benefit which was not offered to them in the previous 2024 section 998 offer. Therefore, section 998 does not operate to preclude Plaintiff from recovering fees beyond April 30, 2024.

The court is to use lodestar method to determine reasonable fee. (*Doppes v. Bentley Motors, Inc.* (2009) 174 Cal.App.4th 967, 997-1001.) Under the lodestar method, the judge must first determine the lodestar figure the reasonable hours spent multiplied by the reasonable hourly rate of each attorney who was involved in presenting the case. (*Morris v. Hyundai Motor America* (2019) 41 Cal.App.5th 24, 35 (Morris).)

When using the lodestar method, the reasonable hourly rate is the prevailing hourly rate for private attorneys in the community who conduct noncontingent litigation of the same type. (*Glaviano v. Sacramento City Unified Sch. Dist.* (2018) 22 Cal.App.5th 744, 751

(Glaviano).) Prevailing hourly rates apply even when attorney represented party on contingent fee basis, charged nothing for attorney's services, charged below-market or discounted rates, or was in-house counsel. (*Ibid*.)

The following language of Civil Code section 1794, subdivision (d), providing for award of fees and cost to prevailing party requires trial court to base the prevailing buyer's attorney fee award upon actual time expended on the case, as long as such fees are reasonably incurred: "the buyer shall be allowed by the court to recover as part of the judgment as sum equal to the aggregate amount of costs and expenses, including attorney's fees based on *actual time expended*, determined by the court to have been *reasonably incurred by the buyer* in connection with the commencement and prosecution of such action." (Civ. Code, § 1794(d), italics added.) The starting point for this determination is the attorney's time records. (*Horsford v. Board of Trustees of Calif. State Univ.* (2005) 132 Cal.App.4th 359, 395-397.) The approach to determining reasonable attorney fee award under Song-Beverly Consumer Warranty Act is "consistent with approach to determining a reasonable attorney fee in various statutory and contractual contexts, which 'ordinarily begins with the "lodestar," i.e., the number of hours reasonably expended multiplied by the reasonable hourly rate. (*Warren v. Kia Motors America, Inc.* (2018) 30 Cal.App.5th 24, 36.)

"Testimony of an attorney as to the number of hours worked on a particular case is sufficient evidence to support an award of attorney fees, even in the absence of detailed time records." (*Martino v. Denevi* (1986) 182 Cal.App.3d 553, 559.) "In challenging attorneys fees as excessive because too many hours of work are claimed, it is the burden of the challenging party to point to the specific items challenged, with a sufficient argument and citations to the evidence." (*Premier Medical Management Systems, Inc. v. California Ins. Guarantee Assn.* (2008) 163 Cal.App.4th 550 564 (Premier Medical).) "General arguments that fees are excessive, duplicative, or unrelated do not suffice." (*Ibid*.) A challenge to reasonableness of fees must be supported by evidence by citation to record and explanation of which fees are challenged. (*Id.* at 562.) Here, Defendant contends that Plaintiffs' counsels overstaffed the case with 14 attorneys and three law clerks billing a total of 77.3 hours. Defendant makes a line-item challenge of the various billing entries included in the time record appended to the supporting declaration of Plaintiffs' counsel.

26.1 hours billed for Ex part application and motion to compel (10/9/2024 through 11/27/2024 - $10,364.50)

Defendant challenges $10,364.50 billed by Plaintiffs' counsels for 26.1 hours of work related to Plaintiffs' motion to compel the deposition of Defendant's Person Most Knowledgeable and related ex parte application filed in late 2024. Defendant argues that these fees were not reasonably incurred because these matters did not result in Plaintiffs reaching their litigation objective as the ex parte was denied by the Court on October 11, 2024, and the hearing on Plaintiffs' Motion to Compel was vacated on January 24, 2025, as no further action was taken by Plaintiffs after the Court, on November 27, 2024, ordered the parties to meet and confer about scheduling deposition. Defendant's argument is unpersuasive. Where a party has obtained excellent results, the award should not be reduced merely for reason a party failed to prevail on every contention raised in the lawsuit: " 'Litigants in good faith may raise alternative legal grounds for a desired outcome, and the court's rejection of or failure to reach certain grounds is not a sufficient reason for reducing a fee. The result is what matters.' " (*Sundance v. Municipal*

Court (1987) 192 Cal.App.3d 268, 273-274, citing *Hensely v. Eckerhart* (1983) 461 U.S. 424, 434-435.) Nevertheless, Plaintiffs, in their reply, concede that the time record included a duplicative entry by biller Hannah Theophil for 5 hours (10/10/2024 - $1,975) and agree to remove the entry from the fee calculation.

2.0 hours for drafting an opposition to motions to compel which was never filed (01/16/2025 - $790)

Defendant argues that Plaintiffs' counsels billed for an opposition to a motion which was never filed by Defendant. Plaintiffs concede that the time record included an entry for work which was not performed and agree to remove it from the fee request.

12.5 hours for excessive, duplicative, vague, or otherwise improper time (7/26/2024 through 4/24/2025 - $4,849.50)

Defendant challenges the fees incurred for tasks in which boilerplate documents were used by Plaintiffs' counsels. Defendant argues that the hours billed for these tasks are excessive whereas the so-called boilerplate documents were served in hundreds of cases and should have required minimal edits to conform to the case facts. Defendant's challenge should be rejected. Although the use of a "template" or "boilerplate documents" should be taken into consideration in determining whether the work billed by the attorney was actually and reasonably incurred, the similarity of filings between cases pending between the parties, alone, is no justification to reduce billed hours expended in this matter. However, Defendant does correctly point out that the biller Tionna Carvalho, on 3/27/2025, billed $325 for .05 hour for what appears to be duplicative work for which the biller Camilo Fernandez had already billed on 3/5/2025 concerning Plaintiffs' demand for expert witness information.

Fees for preparing the fee motion and the reply to opposition.

Defendant objects to Plaintiffs request for $1,880 for 4.0 hours spent on preparing the instant fee motion and that Plaintiffs are improper expecting Defendant to pick up the tab for the entire bill. However, contrary to this objection, fee request may include the reasonable fees incurred for bringing a fee motion. (*See Serrano v. Unruh* (1982) 32 Cal.3d 6231, 632.)

Defendant also points out that Plaintiffs is improperly seeking an additional $1,500 for anticipated fees for repreparing a reply to the opposition. Defendant challenges this amount as speculative and argues that Plaintiff should only recover fees actually incurred. In reply, Plaintiffs' counsel, Kayla Herpers, submits her declaration stating that she spent 5 hours preparing the reply at her hourly rate of $445 and anticipates spending another 1 hour preparing and attending the hearing. Therefore, Plaintiffs are now seeking an increased additional fee of $2,670. (See Declaration of Kayla Herpers iso Reply, ¶ 6.) Plaintiffs' request for additional 6 hours of fees calculated at Kayla Herpers hourly rate of $445 for preparing the reply and attending hearing on this matter is excessive. Plaintiff's recovery is reduced to a reasonable amount of $1,335 (3 hours.) Counsel also seeks to recover additional amount billed by Angel Baker, who purportedly spent a total of .5 hour at the hourly rate of $650 merely for reviewing the reply and supporting documents. This is duplicative billing.

MULTIPLIER

The trial court has the discretion to increase or decrease the lodestar figure by applying a positive or negative multiplier based on many factors. (*Glaviano, supra,* 22 Cal.App.5th at 751.) The court may consider factors unique to the case such as risks associated with contingent fee, quality of work, novelty and complexity of issues, and results obtained. (*Graham v. DaimlerChryserl Corp.* (2004) 34 Cal.4th 553, 579-580.) The decision to apply multiplier is entirely discretionary. (*Galbiso v. Orosi Pub. Util. Dist.* (2008) 167 Cal.App.4th at 1089.) The purpose of a fee enhancement is "primarily to compensate the attorney for prevailing party at a rate reflecting the risk of nonpayment in contingency cases as a class." (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1138.)

Plaintiffs seek the court to award a multiplier of 1.35 times the lodestar figure for their counsels' undertaking the risk of litigating the case on a fully contingent basis and being paid for their services. However, Plaintiffs' counsels claim to have significant experience and specialized knowledge in handling lemon law cases. That would imply that the law firm managed by seasoned litigators in the field possess the ability to properly evaluate the strength of and the probability of success on a case, and the associated risk before taking it on. Having handled numerous similar cases and prevailed, Plaintiffs' attorneys could have understood the risk of recovery in this case was not high. The settlement amount of $84,000 without engaging in extensive litigation shows lack of such risk. Thus, no multiplier applies in increasing the amount of fee recovery.

Lodestar

Attorney's fees under the lodestar method is to be "based on the prevailing hourly rates for comparable legal services in the community." (*Premier Medical, supra*, 163 Cal.App.4th at 558.)

Here, the hourly rates billed by Plaintiffs' attorneys and staff range widely from $195 to $910. Plaintiffs submit the declaration of their counsel, Payam Shahian, demonstrating that other courts have awarded fees in other lemon law cases at the hourly rates comparable to the rates claimed by Plaintiffs' counsels. (Shaian Decl., ¶15.) The hourly rates ranging from $195 for a law clerk up to $550 for a senior level attorney is consistent with the prevailing rates of lemon law attorneys practicing in Riverside County. Any rates beyond this range should be capped at an hourly rate of $550. This results in the following reduction:

-Michael Ackerman – 4.2 hours at $700 ($2,940): reduced to 4.2 hours at $550 ($2,310)

-Olivia Avelino – 1.3 hours at $595 ($773.50): reduced to 1.3 hours at $550 ($715)

-Tionna Carvalho – 1.0 hours at $595 ($595): reduced to 1 hour at $550 ($550)

-Tionna Carvalho – 2.2 hours at $650 ($1,430): reduced to 2.2 hours at $610 ($1,210)

-Joy de Leon – 1.3 hours at $595 ($773.5): reduced to 1.3 hours at $550 ($715)

-Regina Liou – 1.0 hour at $575 ($575): reduced to 1 hour at $550 ($550)

-Payam Shahian - .8 hours at $910 ($728): reduced to .8 hours at $550 ($440)

-Sanam Vaziri - .5 hour at $610 ($305): reduced to .5 hour at $550 ($275)

Once calculated at the reduced rate, the total fees are subject to a reduction of $1,294.50.

COST.

Plaintiffs seek costs in the amount of $3,517.21. Plaintiff has not timely served and filed a cost memorandum upon entry of the order of dismissal to seek cost. “A prevailing party who claims costs must serve and file a memorandum of costs within 15 days after the date of service of [1] the notice of entry of judgment or dismissal by the clerk under Code of Civil Procedure section 664.5 or [2] the date of service of written notice of entry of judgment or dismissal or [3] within 180 days after entry of judgment, whichever is first.” (Cal. Rules of Court, rule 3.1700(a)(1).) Here, the Court entered its Order of Dismissal on December 15, 2025. The deadline by which to file a cost memorandum has expired. Although the Court dismissal order provided that the Court is to retain jurisdiction pursuant to Code of Civil Procedure section 664.6 to enforce the settlement, including Plaintiff’s request for fees and cost, Plaintiffs cannot bypass the strict timeline set forth under the Court rules. “The rules have the force of statute to the extent they are not inconsistent with legislative enactment and constitutional provisions. [Citations.]” (*In re Richard S.* (1991) 54 Cal.3d 857, 863.) Plaintiff’s request for costs is denied.